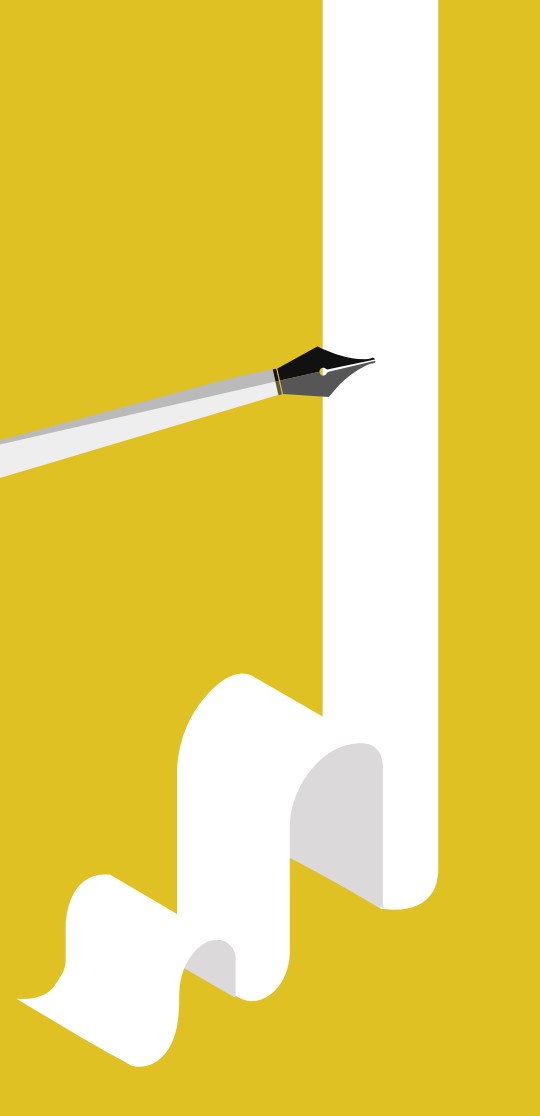




FORMS AND RULES

The income tax department recently released draft forms and rules revealing the planned changes

House Rent Allowance (HRA) Exemption:

► Available under the old tax regime to include four more cities—Bengaluru, Hyderabad, Pune, and Ahmedabad; disclosure for renting from near relative

LTC concessions:

► Allows airfare reimbursement based on the class of travel to which the employee is entitled

Thresholds for quoting PAN revised upwards:

- For aggregate cash deposits and withdrawals of ₹10 lakh or more in an FY in a bank or post office
- ₹5 lakh limit for sale/purchase of motor vehicle
- Single payment of ₹1 lakh and above at hotels, banquet halls
- All insurance premium irrespective of transaction value
- Mandatory for immovable property transactions exceeding ₹20 lakh (value or stamp duty value)

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ally speaking, employees should benefit, because limits for the non-taxable part of the perquisites have been increased,” he says.

However, one perquisite, on the deemed value of car benefit, has been increased, and that could cost taxpayers a bit more because their compensation will reflect a higher tax liability on this account. “The transition to the new set of rules will require resources from the employer to organise a restructuring of the employee compensation plan,” says Singhania.

In the case of HRA exemptions, Vivek Jalan, Partner at Tax Connect Advisory Services,

says the choice between the old and the new tax regime depends upon the tax-saving deductions an individual can avail.

“One must, thus, calculate the ‘break-even deduction’ for different income levels. If the taxpayer has deductions above the break-even level, the old regime will be beneficial. Otherwise, the new regime will be the most desirable choice,” he says. Break-even deduction is the limit at which tax liability under new and old IT regimes is equal.

For example, in case deductions above ₹5.44 lakh are availed by a taxpayer earning ₹15 lakh per annum, the old regime is beneficial. Similarly, in case

deductions above ₹7.08 lakh are availed by a taxpayer earning ₹20 lakh, the old regime is beneficial.

COMPLIANCES

Taxpayers must note that the Act comes into effect from FY27 and will impact their tax liability from April 1. This means that income tax returns (ITR) based on the new Act will be filed in 2027. However, certain compliances would have to be made in the coming months.

While taxpayers will benefit from the reduction in the number of forms, they must keep in mind that many forms have changed. Common information fields in forms have been standardised, and they have been redesigned to